EQUITY RESEARCH · COMPANY OVERVIEW

Rolls-Royce Holdings plc

LSE: RR. Aerospace & Defence · Engines, Services & Power

Analyst: Viswanadham Ampolu
WSO Equity Research Internship
Data to H1 2026 results · 30 Jul 2026

Overview | Segments | Revenue quality | Margins | Outlook | Risks | Sources

FY2025 revenue	H1 2026 underlying op. margin	H1 2026 underlying op. profit
£20.1bn	22.5%	£2.5bn
3 segments + SMR	▲ 340bps y/y	▲ 46% y/y

FY2026 op. profit guidance	EV / EBIT
£4.7–4.9bn	~25x
Raised at H1	vs 5-yr avg 20.4x

Business overview

Rolls-Royce designs, manufactures and services engines and power systems for commercial aircraft, armed forces and industry. The investment case rests on one fact: Rolls-Royce earns most of its profit from servicing its installed engine base for decades after delivery, not from selling engines.

Civil Aerospace is over half of revenue, so the company is best compared with aero-engine and aftermarket franchises such as GE Aerospace and Safran, not diversified industrials. Defence and Power Systems add growth that does not depend on the airline cycle.

The widebody engine market is a small oligopoly with very high barriers to entry. Sole-source status on the Airbus A350 and the UK's sovereign submarine reactor work give Rolls-Royce a franchise that is hard to replicate, and it gets stronger as services grow in the mix.

FY2025 REVENUE MIX · £20.1BN

Hover or tap a slice for revenue and margin. Tap a slice to open that segment below.

Segments

Civil Aerospace | Defence | Power Systems | SMR (New Markets)

Civil Aerospace · ~52% of revenue

Trent engines for widebody aircraft, including the Airbus A350 (sole engine supplier) and Boeing 787. About 69% of segment revenue (£7.2bn) is aftermarket services, mostly under LTSAs paid per Engine Flying Hour.

Recurring | Sole-source A350

KEY FIGURES

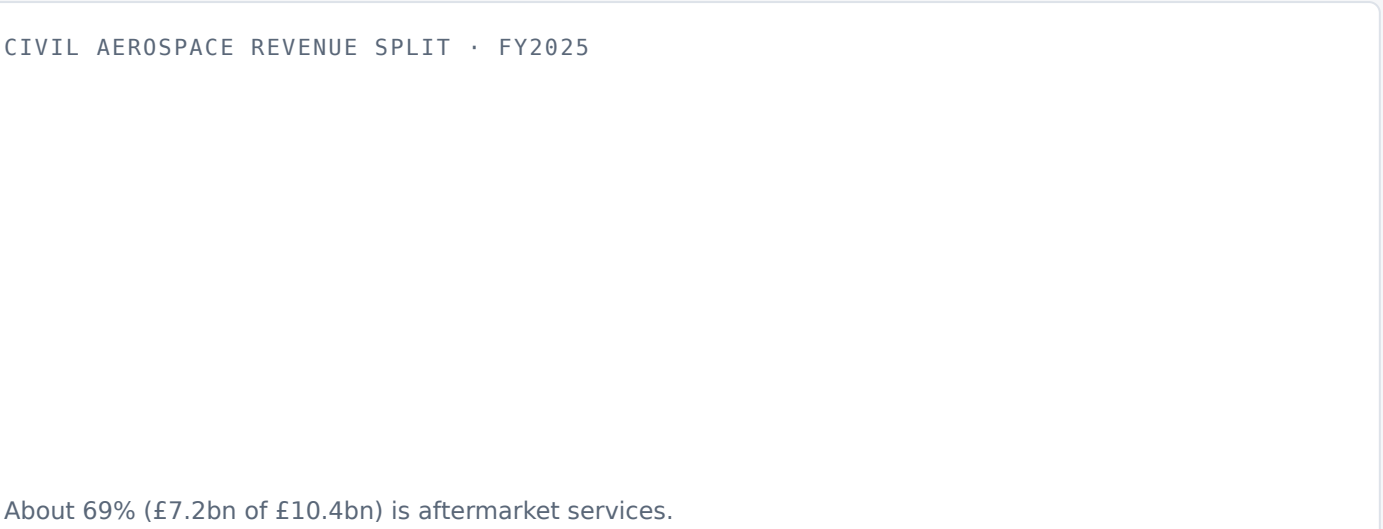
FY2025 revenue	~£10.4bn
Aftermarket share	~69% (£7.2bn)
Margin FY25 → H1 26	20.5% → 25.3%
Large-engine flying hours H1 26	+4%
Large-engine MRO output H1 26	+13%
Engine deliveries 2025	259 (−9%)

Revenue quality

Civil revenue is largely recurring. An engine delivered today earns Long-Term Service Agreement (LTSA) income, paid per Engine Flying Hour (EFH), for 20+ years. Airlines cannot easily switch engine supplier once an aircraft is bought, which gives Rolls-Royce pricing power at contract renewal. Each new delivery adds to a long stream of future service revenue.

As services grew in the mix, earnings became more predictable, which supports a higher valuation multiple. EV/EBIT is now about 25x, above its 3-year average of 22.1x and 5-year average of 20.4x (Alpha Spread, Sep 2026). Before 2023, EBIT was too depressed for the multiple to be meaningful, so the re-rating reflects the market pricing in durable, service-led earnings. The limit is that, unlike software, servicing engines needs labour and parts, so costs rise with volume.

CIVIL AEROSPACE REVENUE SPLIT · FY2025



About 69% (£7.2bn of £10.4bn) is aftermarket services.

What drove the margin step-up

Group underlying operating margin rose 340bps, from 19.1% in H1 2025 to 22.5% in H1 2026, and operating profit grew 46% to £2.5bn. Management credits structural levers delivered under CEO Tufan Erginbilgiç, who joined in January 2023. The transformation is now in its fourth year, so the gains are not down to one person or one year.

A **Commercial optimisation**
Contract renegotiation and higher LTSA pricing, about £574m of gross margin improvement.

B **Time-on-wing and durability**
Engines grounded for maintenance (aircraft-on-ground) effectively eliminated.

C **Cost efficiency**
Operational savings across the group.

D **Aftermarket volume**
Large-engine flying hours +4%, maintenance, repair and overhaul (MRO) output +13%.

Why it matters: repricing (A) is partly a one-off step, while durability and volume (B, D) recur. How sustainable the new margin level proves will be a key driver of the valuation.

UNDERLYING OPERATING MARGIN BY SEGMENT

FY2025 vs H1 2026. Hover a bar for the change in basis points.

Outlook & guidance

FY2026 guidance was raised to £4.7–4.9bn underlying operating profit and £3.8–4.0bn free cash flow. Management cited strong first-half execution across all divisions (H1 free cash flow of £2.0bn, up 24%) and continued transformation benefits, which outweighed the impact of the Middle East conflict.

Power Systems raised its target for power-generation original-equipment revenue growth to 2030 from 20% to 25% a year because of data-centre demand, and it is adding capacity at Aiken (South Carolina) and Mankato (Minnesota).

FY2026 GUIDANCE RANGES (£BN)



Key risks

HIGH
Air-travel shocks
Civil revenue depends on flying hours. COVID showed how fast they can collapse.

MEDIUM
Supply chain
2025 engine deliveries fell 9% to 259, slowing growth in the installed base.

MEDIUM
Margin sustainability
Part of the recent margin gain comes from one-off contract repricing.

MEDIUM
SMR execution
Nuclear new-build carries high cost and timeline risk.

▶ Glossary

Sources: Rolls-Royce 2025 Full Year Results · 2026 Half Year Results · H1 2026 earnings call · Power Systems FY2025 · GOV.UK: GBE-N and Rolls-Royce SMR contract

Valuation multiples: Alpha Spread; SMR funding: ANS Nuclear Newswire. Segment revenue shares are approximate. Prepared for educational purposes as part of the WSO Equity Research Internship. This is not investment advice.